invincibility around financial institutions. They were now seen as entities as likely to default as a small investor or an HNI.

In May 2010, SEBI ruled that institutions would have to pay the entire application money while bidding for IPOs. So far, they had had to pay only 10 per cent of the application money while retail investors and non-institutional investors had had to pay the entire amount. As they had to pay little money upfront, institutions would bid for huge quantities. This led to a situation where heavy bidding by institutions gave an exaggerated picture of the demand for primary market offers.

High institutional interest would set off a chain reaction, as retail and other investors viewed it as an endorsement of the company’s fundamentals, and felt encouraged to invest. This would also influence the listing price, which hinged on the demand for the stock during the issue process.

Understandably, both FIIs and merchant bankers were opposed to the move because it reduced their power to game the IPO process. However, SEBI refused to budge on the matter.